

Warsaw, December 30, 2022

Decision

DKE.561.20.2022

Based on Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2021, item 735, as amended) in connection with Article 7 § 1 and 2, Article 60, Article 101, Article 101a § 2, and Article 103 of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781) and based on Article 58 § 2 letter i), Article 83 § 1 and 2, Article 83 § 5 letter e) in connection with Article 58 § 1 letter a) and e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) (OJ EU L 119 of 04.05.2016, p. 1, with amendments published in OJ EU L 127 of 23.05.2018, p. 2, and in OJ EU L 74 of 04.03.2021, p. 35), after conducting an ex officio administrative procedure regarding the imposition of an administrative monetary penalty on K. S.A. based in K. at ul. (...), the President of the Personal Data Protection Office,

finding a violation by K. S.A. based in K. at ul. (...) of the provisions of Article 58 § 1 letter a) and e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation), consisting of failing to provide the President of the Personal Data Protection Office access to information necessary for the performance of his tasks, imposes on K. S.A. based in K. at ul. (...) an administrative monetary penalty in the amount of 27,418 PLN (in words: twenty-seven thousand four hundred eighteen zlotys).

Justification

Factual Background

A complaint was submitted to the Personal Data Protection Office by Mr. J. M. regarding irregularities in the processing of his personal data by K. S.A. based in K. at ul. (...) (hereinafter referred to as the "Company"), consisting of providing the complainant's personal data to unauthorized entities. The President of the Personal Data Protection Office (hereinafter referred to as the "President of UODO") within the framework of the initiated administrative procedure aimed at examining the submitted complaint (under reference DS.523.347.2022), by letter dated February 23, 2022, summoned the Company to respond to the content of the complaint and to provide explanations and present evidence to confirm them within 7 days from the date of delivery of the letter. In the content of the aforementioned letter, the President of UODO called upon the Company to answer four questions essential for the substantive resolution of the case under reference DS.523.347.2022. The letter was twice notified and returned to the sender on March 24, 2022. The letter was not collected by the Company despite being sent to the address of the registered office indicated in the National Court Register (hereinafter referred to as "KRS"): ul. (...) K. (KRS number of the Company: (...)). In connection with the above, the President of UODO – based on Article 44 § 4 in conjunction with Article 45 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2022, item 2000), hereinafter referred to as "k.p.a." – deemed it delivered to the Company on March 15, 2022, and left it in the case files. Due to the return of the aforementioned letter and the lack of response, the President of UODO again – by letter dated March 31, 2022 – summoned the Company to respond to the content of the complaint and to provide explanations in the case under reference DS.523.347.2022. The letter was twice notified and ultimately returned to the sender on April 26, 2022. In connection with the above, the President of UODO – based on Article 44 § 4 in conjunction with Article 45 of the k.p.a. – deemed it delivered to the Company on April 19, 2022, and left it in the case files. This summons also remained unanswered by the Company. In the content of the aforementioned letter, the President of UODO informed the Company that the lack of a comprehensive response to the questions presented in the summons may result, due to the failure to provide access to personal data and information necessary for the President of UODO to perform his tasks, in the imposition on the Company – in accordance with Article 83 § 5 letter e) of the Regulation of the European Parliament

and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) (OJ EU L 119 of 04.05.2016, p. 1, with amendments published in OJ EU L 127 of 23.05.2018, p. 2, and in OJ EU L 74 of 04.03.2021, p. 35), hereinafter referred to as "Regulation 2016/679" – an administrative monetary penalty of up to 20,000,000 EUR, and in the case of an enterprise, up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applying.

The above circumstances of the factual background of the case were established by the President of UODO based on the entirety of the correspondence conducted with the Company during the proceedings under reference DS.523.347.2022. The evidence gathered in the case confirms the attempts made by the President of UODO to obtain access to the information necessary for the performance of his tasks.

his tasks, namely the consideration of the case with reference number DS.523.347.2022. The company was registered in the KRS on June 27, 2011. Its main business activity is providing financial intermediation services. The company operates a stationary office in K. at ul. (...) and offers its services online through the website [https://www\(...\)](https://www(...)). According to the data disclosed in the KRS, the company's registered office is located in K. at ul. (...). Despite correctly directing correspondence to this address, the company did not receive any correspondence from the Office for Personal Data Protection, and consequently did not submit explanations or present evidence during the proceedings with reference number DS.523.347.2022.

Proceedings

Due to the company's failure to provide the information necessary to resolve the case with reference number DS.523.347.2022, the President of the UODO initiated, ex officio - based on Article 83(5)(e) of Regulation 2016/679 - proceedings (reference number DKE.561.20.2022) regarding the imposition of an administrative monetary penalty for violating Article 58(1)(a) and (e) of Regulation 2016/679. In light of the company's actual failure to receive correspondence sent to its registered office, the employee handling the case at the Office for Personal Data Protection contacted the President of the Management Board of the company, D. K., by phone on July 6, 2022. During the conversation, the President of the Management Board informed about the new address for service of documents for the company, namely K. ul. (...) and the ePUAP address: /(...)/(...). A memo was prepared regarding this conversation. The information about the initiation of proceedings concerning the imposition of an administrative monetary penalty on the company and the collection of sufficient evidence to issue a decision in the matter (reference number DKE.561.20.2022) was sent by the President of the UODO in a letter dated July 8, 2022, to the address established during the phone conversation with the President of the Management Board of the company, namely K. ul. (...). In this letter, the company was informed that providing comprehensive explanations within 7 days in the proceedings with reference number DS.523.347.2022, to which the President of the UODO called for in letters dated February 23, 2022, and March 31, 2022, may mitigate the administrative monetary penalty imposed in these proceedings or may lead to the decision to refrain from imposing it. The company was also informed in the aforementioned letter that failure to provide the President of the UODO with all necessary information to fulfill his tasks and failure to ensure access to personal data and information necessary for the President of the UODO to fulfill his tasks, resulting in a violation of Article 58(1)(a) and (e) of Regulation 2016/679, is subject - in the case of an administrator or a processor that is not an enterprise - to an administrative monetary penalty of up to 20,000,000 EUR, and in the case of an enterprise - up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount being applicable. Furthermore, in the aforementioned letter, the President of the UODO requested - based on Article 101a of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781), hereinafter referred to as "u.o.d.o." - to present, within 7 days from the date of receipt of the letter, the financial statement for 2021 - or in the absence of such a statement - a declaration of the turnover and financial result achieved by the company in 2021, in order to determine the basis for calculating the administrative monetary penalty. Additionally, the company was informed about the possibility of expressing its opinion - before the issuance of the administrative

decision - regarding the collected evidence and materials and the submitted requests.

The aforementioned letter was delivered to the company on July 12, 2022. The letter remained unanswered by the company. Due to the lack of response from the company to the information about the initiation of these proceedings, the employee handling the case at the Office for Personal Data Protection made further attempts to contact the President of the Management Board of the company, which ended unsuccessfully. A memo was prepared regarding this circumstance on September 20, 2022. Contact with the President of the Management Board of the company was finally established on November 9, 2022. During this conversation, the President of the Management Board was once again informed that failure to respond to the calls of the President of the UODO would result in the imposition of an administrative monetary penalty. The President of the Management Board committed to providing the appropriate explanations and evidence by November 11, 2022. Up to the moment of issuing this decision, the company has not provided any of the information requested by the President of the UODO necessary to fulfill his tasks.

After reviewing all the evidence collected in the case, the President of the UODO considered the following. Legal Provisions According to Article 57(1)(a) of Regulation 2016/679, the President of the UODO - as the supervisory authority within the meaning of Article 51 of Regulation 2016/679 - monitors and enforces the application of this regulation within its territory. Within the framework of its competencies, the President of the UODO considers, among other things, complaints lodged by data subjects, conducts proceedings regarding these complaints to the appropriate extent, and informs the complainant about the progress and results of these proceedings within a reasonable time (Article 57(1)(f) of Regulation 2016/679). To enable the realization of such defined tasks, the President of the UODO is entitled to a number of powers specified in Article.

58 para. 1 of Regulation 2016/679 grants powers in the scope of conducted proceedings, including the authority to order the administrator and the processor to provide all information necessary for the performance of its tasks (Article 58 para. 1 lit. a of Regulation 2016/679) and the authority to obtain access from the administrator and the processor to all personal data and any information necessary for the performance of its tasks (Article 58 para. 1 lit. e of Regulation 2016/679).

The order to provide information necessary for the performance of the tasks of the President of the Personal Data Protection Office (UODO), referred to in Article 58 para. 1 lit. a of Regulation 2016/679, is executed through a summons regulated in Chapter 9 of the Code of Administrative Procedure (k.p.a.).

Summons and other documents addressed to the parties in the proceedings by the public administration authority are delivered according to the principles specified in Chapter 8 of the k.p.a. According to these provisions, documents are delivered to organizational units and social organizations at their registered office to the hands of persons authorized to receive documents (Article 45 k.p.a.). In the event of inability to deliver the document, the postal operator retains the document for a period of fourteen days at its facility (Article 44 § 1 k.p.a.), previously placing a notice of the document's retention along with information about the possibility of its collection within seven days (Article 44 § 2 k.p.a.). In the case of failure to collect the shipment within the deadline, a repeated notice of the possibility of collecting the shipment is left within a period not exceeding fourteen days from the date of the first notice (Article 44 § 3 k.p.a.). If, despite two notifications of the possibility of collecting the shipment at the postal facility, the addressee of the document does not collect it, Article 44 § 4 k.p.a. applies, stating that delivery is considered completed upon the expiration of the fourteen-day period, and the document is left in the case files.

According to Article 38 para. 1 lit. c) of the Act of August 20, 1997 on the National Court Register (Dz.U. of 2022, item 1683) (hereinafter referred to as "u.k.r.s"), legal entities to which its provisions apply, including joint-stock companies, are obliged to make an entry in the KRS, among other things, of their registered office and address. In the event of a change in this data, entities subject to entry in the KRS are obliged to report this change to the Register of Entrepreneurs based on Article 47 para. 1 u.k.r.s. Based on Article 17 para. 1 u.k.r.s, it is presumed that the data entered in the Register of Entrepreneurs is true.

Violations of the provisions of Regulation 2016/679, consisting of the failure of the administrator or processor to provide access to personal data or information necessary for the supervisory authority to perform its tasks, resulting in a violation of the rights of the authority specified in Article 58 para. 1, are subject – in accordance with Article 83 para. 5 lit. e) in fine of Regulation 2016/679 – to an administrative fine of up to 20,000,000 EUR, and in the case of an enterprise – up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applying.

When assessing whether, and if so, to what extent an administrative fine should be imposed, the supervisory authority is obliged to take into account the following circumstances (criteria for determining the penalty) specified in Article 83 para. 2 of Regulation 2016/679:

- a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing, the number of affected individuals, and the size of the damage suffered by them;
- b) the intentional or unintentional nature of the infringement;
- c) actions taken by the administrator or processor to mitigate the damage suffered by the individuals whose data were affected;
- d) the degree of responsibility of the administrator or processor, taking into account the technical and organizational measures implemented by them under Articles 25 and 32;
- e) any relevant previous infringements by the administrator or processor;
- f) the degree of cooperation with the supervisory authority to remedy the infringement and mitigate its possible negative effects;
- g) the categories of personal data affected by the infringement;
- h) the manner in which the supervisory authority became aware of the infringement, in particular, whether and to what extent the administrator or processor reported the infringement;
- i) if measures referred to in Article 58 para. 2 were previously applied to the administrator or processor in the same matter – compliance with those measures;
- j) the application of approved codes of conduct under Article 40 or approved certification mechanisms under Article 42;
- k) any other aggravating or mitigating factors applicable to the circumstances of the case, such as financial benefits directly or indirectly obtained in connection with the infringement or avoided losses.

Furthermore – the supervisory authority – in accordance with Article 83 para. 1 of Regulation 2016/679 – ensures that the administrative fines imposed are effective, proportionate, and dissuasive in each individual case (principles of penalty determination).

For the purpose of establishing the basis for determining the administrative fine, the entity subject to the proceedings is obliged – based on Article 101a para. 1 of the Act on the Protection of Personal Data (u.o.d.o.) – at the request of the President of the UODO to provide the data necessary to determine this basis. In the event of failure to provide this data by the entity subject to the penalty, the President of the UODO...

– in accordance with Article 101a, paragraph 2 of the Act on the Protection of Personal Data (u.o.d.o.), establishes the basis for the calculation of the administrative monetary penalty in an estimated manner, taking into account the size of the entity, the specificity of its business activity, or generally available financial data concerning the entity.

Pursuant to Article 103 of the u.o.d.o., the equivalent amounts expressed in euros referred to in Article 83 of Regulation 2016/679 are calculated in złoty according to the average euro exchange rate announced by the National Bank of Poland in the exchange rate table on January 28 of each year, and in the event that the National Bank of Poland does not announce the average euro exchange rate on January 28 of a given year - according to the average euro exchange rate announced in the nearest exchange rate table of the National Bank of Poland after that date.

Legal Assessment

Referring the above-mentioned provisions of Regulation 2016/679 to the established factual state in this case, it should be stated that the Company – as a party to the proceedings conducted by the

President of the Personal Data Protection Office (UODO) under reference DS.523.347.2022, violated the obligation arising from Article 58, paragraph 1, letters a) and e) of Regulation 2016/679, which consists of providing the President of UODO with all information necessary for the performance of his tasks and ensuring the President of UODO access to all personal data and all information necessary for the performance of his tasks. The evasion of the aforementioned obligations towards the President of UODO resulted in the inability to thoroughly examine the case and also prolonged the proceedings, which contradicts the fundamental principles governing administrative proceedings - defined in Article 12, paragraph 1 of the Code of Administrative Procedure (k.p.a.) regarding the principles of thoroughness and speed of proceedings.

In the proceedings under reference DS.523.347.2022, in order to obtain information necessary for the substantive resolution of the case, the President of UODO, based on Article 58, paragraph 1, letters a) and e) of Regulation 2016/679, twice requested the Company to provide explanations. These letters, addressed to the Company's registered office, were not collected despite being twice notified, and therefore were deemed delivered to the Company - in accordance with Article 44, § 4 of the k.p.a. in connection with Article 45 of the k.p.a. - respectively on March 15, 2022, and April 19, 2022. Consequently, due to the Company's failure to respond to the correspondence, it did not provide the President of UODO with any information in the proceedings under reference DS.523.347.2022.

The Company's liability for not providing the requested information to the President of UODO in the proceedings under reference DS.523.347.2022 is not diminished in any way by the fact that the Company did not actually collect the correspondence directed to it, as according to the justification of the judgment of the Voivodeship Administrative Court in Gorzów Wielkopolski dated October 18, 2018, reference II SAB/Go 90/18 (LEX no. 2576144) - "It is the duty of every organizational unit to ensure such organization of the receipt of letters that the course of correspondence occurs in a continuous and uninterrupted manner and exclusively through authorized persons. Negligence in this regard burdens that very organizational unit."

The Company, despite receiving on July 12, 2022, a letter dated July 8, 2022, regarding the initiation of proceedings concerning the imposition of an administrative monetary penalty under reference DKE.561.20.2022, did not respond to this letter and did not provide data allowing for the determination - for the purpose of establishing the basis for the penalty - of its financial situation. It is worth emphasizing that the Company did not react to the letters directed to it even after being informed by phone about the correspondence directed to the Company and being warned about the potential liability facing the Company.

In light of the above, the President of UODO stated that in this case, there were grounds justifying the imposition on the Company - pursuant to Article 83, paragraph 5, letter e) of Regulation 2016/679 - of an administrative monetary penalty in connection with the failure to provide the President of UODO with all information necessary for the performance of his tasks (Article 58, paragraph 1, letter a) of Regulation 2016/679) and the failure to ensure access to all information and personal data necessary for the President of UODO to perform his tasks (Article 58, paragraph 1, letter e) of Regulation 2016/679).

Grounds and Principles for the Calculation of the Administrative Monetary Penalty

Pursuant to Article 83, paragraph 2 of Regulation 2016/679, administrative monetary penalties are imposed depending on the circumstances of each individual case. In each case, a number of circumstances listed in points a) to k) of the aforementioned provision are taken into account. In deciding to impose an administrative monetary penalty on the Company in this case and determining its amount, the President of UODO considered - among them - the following circumstances that weigh negatively on the assessment of the violation:

The nature, gravity, and duration of the violation (Article 83, paragraph 2, letter a) of Regulation 2016/679). The behavior of the Company subject to the administrative monetary penalty, which constitutes a violation of Article 58, paragraph 1, letters a) and e) of Regulation 2016/679, undermines the system aimed at protecting one of the fundamental rights of individuals, which is the right to the

protection of their personal data. An essential element of this system, the framework of which is defined by Regulation 2016/679, are supervisory authorities, which have been assigned tasks related to the protection and enforcement of individuals' rights in this regard. In order to enable the realization of these tasks, supervisory authorities have been equipped with a range of control powers, powers enabling the conduct of proceedings.

administrative and corrective powers.

On the other hand, administrators and data processors have been imposed with specific obligations, correlated with the powers of supervisory authorities, including the obligation to provide these authorities with access to personal data and information necessary for the performance of their tasks. The Company's conduct in this matter, consisting of failing to provide the information requested by the President of the Personal Data Protection Office (UODO), resulting in hindrance and unjustified prolongation of the proceedings conducted by him, should therefore be regarded as undermining the entire system of personal data protection, and for this reason, it is of significant importance and reprehensible nature. Furthermore, the seriousness of the violation is heightened by the fact that it was not a one-time occurrence. The Company failed to respond twice to requests made to it in the proceedings with reference number DS.523.347.2022. Considering the duration of the violation, it should be regarded as prolonged and continuous: the state of violation lasted from the date of the expiration of the deadline set for the Company in the first request for explanations, i.e., from March 23, 2022, to the present moment. Up until the issuance of this decision, the Company has not provided the requested information to the President of UODO.

Intentional nature of the violation (Article 83(2)(b) of Regulation 2016/679). The President of UODO deemed the violation in question to be intentional. The Company received a letter informing it of the initiation of these proceedings, and additionally, the President of the Management Board of the Company was informed by telephone by the employee handling the case about the obligation to provide the President of UODO with information in the proceedings with reference number DS.523.347.2022 and about the initiation of these proceedings. In the opinion of the President of UODO, avoiding the submission of explanations, despite the Company having knowledge of the ongoing proceedings, should be interpreted, at least from the moment of receiving the letter about the initiation of these proceedings, as a conscious and deliberate action.

This circumstance should be assessed negatively and considered as aggravating in the context of determining the amount of the imposed administrative fine.

Any relevant previous violations by the administrator or data processor (Article 83(2)(e) of Regulation 2016/679). The Article 29 Data Protection Working Party, in its Guidelines on the application and setting of administrative fines for the purposes of Regulation No. 2016/679 adopted on October 3, 2017, referring to the criterion mentioned in Article 83(2)(e) of Regulation 2016/679, indicates that "any type of violation of the regulation, even if it is different from the one currently being examined by the supervisory authority, may be 'significant' for the assessment, as it could indicate an overall level of insufficient knowledge or disregard for data protection principles." The President of UODO stated in the proceedings with reference number DKE.561.9.2020, previously conducted against the Company, that there was a violation of the provisions of Articles 31 and 58(1)(e) of Regulation 2016/679, consisting of a lack of cooperation with the President of UODO in the performance of his tasks and failure to provide information necessary for the substantive resolution of the case with reference number ZSPR.440.571.2019, and ultimately issued a reprimand to the Company for this violation.

Assessing the Company's conduct in these proceedings, it should be noted that the Company once again ignored the obligation arising from Article 58(1)(e) of Regulation 2016/679. Consequently, the President of UODO considered the Company's attitude towards data protection principles to be completely dismissive. This circumstance should therefore be treated as aggravating when determining the amount of the administrative monetary penalty.

Degree of cooperation with the supervisory authority to remedy the violation and mitigate its potential negative effects (Article 83(2)(f) of Regulation 2016/679). In the opinion of the President of UODO, the Company did not engage in any degree of cooperation with the President of UODO during the course of these proceedings with reference number DKE.561.20.2022 to remedy the violation and mitigate its negative effects. In particular, the Company, despite receiving the letter about the initiation of these

proceedings, did not provide any information in the proceedings with reference number DS.523.347.2022, which could have been treated as an action to remedy the violation and mitigate its potential negative effects. The fact that the Company did not undertake any cooperation with the President of UODO is another clear basis for imposing sanctions on it in the form of an administrative monetary penalty.

In the opinion of the President of UODO, none of the criteria mentioned in Article 83(2) of Regulation 2016/679 support the mitigation of the established - taking into account the aforementioned aggravating circumstances - amount of the imposed penalty.

Due to the specific nature of the violation, the following circumstances could not be taken into account in this case:

the number of affected individuals and the extent of the damage suffered by them (Article 83(2)(a) of Regulation 2016/679) - in the case of a violation consisting of failing to provide the President of UODO with all information necessary for the performance of his tasks and failing to ensure access to all personal data and all information necessary for the performance of his tasks, no damage arises on the part of individuals;

actions taken by the administrator to minimize the damage suffered by data subjects (Article 83(2)(c) of Regulation 2016/679) - due to the fact that the violation in question does not cause damage to individuals, the Company could not take any actions to minimize the damage;

****Degree of Responsibility of the Administrator****

taking into account the technical and organizational measures implemented by him (Article 83(2)(d) of Regulation 2016/679) – due to the fact that this breach is not related to the organizational and technical measures implemented by the Company to ensure the protection of personal data and the security of processing;

****Categories of Personal Data Concerned by the Breach**** (Article 83(2)(g) of Regulation 2016/679) – due to the fact that the breach is not associated with any personal data breach, this criterion could not be taken into account.

****Other Circumstances Mentioned in Article 83(2) of Regulation 2016/679**** – after assessing their impact on the breach identified in this case, were deemed by the President of the UODO to be neutral for the assessment of the breach identified in this case:

****The Manner in Which the Supervisory Authority Became Aware of the Breach**** (Article 83(2)(h) of Regulation 2016/679) – the President of the UODO became aware of the breach identified in this case while conducting proceedings under reference Ds.523.347.2022, from which it emerged that the Company did not provide the information necessary to resolve the case. This circumstance has neither an aggravating nor a mitigating effect on the amount of the administrative monetary penalty imposed on the Company. It certainly cannot be taken into account in favor of the Company since it did not participate in obtaining information about the breach by the President of the UODO.

****Compliance with Previously Applied Measures in the Same Case**** (Article 83(2)(i) of Regulation 2016/679) – the President of the UODO did not apply any measures listed in Article 58(2) of Regulation 2016/679 against the Company in this case and did not monitor any actions of the Company related to their application, which could have influenced the assessment of the breach.

****Application of Approved Codes of Conduct or Approved Certification Mechanisms**** (Article 83(2)(j) of Regulation 2016/679) – the Company does not apply any codes of conduct or approved certification mechanisms. The use of such self-regulatory instruments by administrators is not mandatory; therefore, the circumstance of their non-application cannot be treated as aggravating in the assessment of the breach. If the Company had implemented and adhered to an approved code of conduct or certification mechanism, the supervisory authority could have considered this fact in its favor as a measure guaranteeing a higher than standard level of protection.

****Financial Benefits Achieved or Losses Avoided in Connection with the Breach**** (Article 83(2)(k) of Regulation 2016/679) – in these proceedings, the President of the UODO did not find that the Company, in connection with the failure to provide the necessary information to resolve the case, gained any financial benefits or avoided losses. Therefore, there are no grounds to treat this circumstance as aggravating or mitigating.

****Other Aggravating or Mitigating Factors**** (Article 83(2)(k) of Regulation 2016/679) – after a thorough

examination of the case, the President of the UODO did not note any other circumstances, other than those described above, that could influence the assessment of the breach and the amount of the imposed administrative monetary penalty.

In accordance with the wording of Article 83(1) of Regulation 2016/679, the administrative monetary penalty imposed by the supervisory authority should be effective, proportionate, and deterrent in each individual case. The definition adopted in doctrine states that "A sanction is effective if it allows achieving the goal for which it was introduced. A sanction is proportional if it does not exceed the threshold of severity determined by taking into account the circumstances of the specific case. A sanction is deterrent if it serves the purposes of individual and general prevention; in other words, it sends a clear signal of disapproval of the breach to society, as well as to the addressee of the sanction" (P. Litwiński (ed.) Regulation of the European Parliament and Council EU 2016/679 of April 27, 2016 [...] Commentary on Article 83 [in]; P. Litwiński (ed.) General Data Protection Regulation. Data Protection Act. Selected Sectoral Provisions. Commentary). In the opinion of the President of the UODO, in these proceedings, the effectiveness and deterrent nature of the penalty, taking into account the principle of proportionality, can only be achieved through a monetary penalty. The severity of this penalty, to a greater extent than the previously imposed warning in the proceedings under reference DKE.561.9.2020, will discipline the Company to cooperate properly with the President of the UODO also in other proceedings conducted in the future involving the Company before the President of the UODO. The penalty imposed by this decision is – in the opinion of the President of the UODO – proportional to the significant weight and reprehensible nature of the identified breach. At the same time, the imposed penalty is the only means of compelling the Company to enforce the principles of personal data protection. This penalty will also serve a deterrent function through its social resonance, indicating that neglecting the obligations arising from Regulation 2016/679, in particular, failing to provide the data protection authority with access to information necessary for the performance of its tasks, constitutes a serious violation and as such will be subject to financial sanctions.

Due to the failure to provide the President of the Personal Data Protection Office (UODO) with the Company's financial data, the appropriate determinations regarding the basis for the penalty were made by the President of UODO in accordance with Article 101a(2) of the Personal Data Protection Act. The President of UODO estimated the basis for the administrative monetary penalty by taking into account the financial data concerning the Company for the years 2017-2019 available on the website of the Ministry of Justice <https://ekrs.ms.gov.pl/>. The analysis of the obtained financial data of the Company indicates that it conducts active business activity. Therefore, it should be stated that in this proceeding, the administrative monetary penalty was estimated in such a way that it would not impose an excessive burden on the business conducted by the Company.

Taking into account the provision of Article 103 of the Personal Data Protection Act (see point 29 of the justification of the decision), the President of UODO imposed on the Company - using the average euro exchange rate from January 28, 2022 (1 EUR = 4.5697 PLN) - an administrative monetary penalty in the amount of 27,418 PLN (which is equivalent to 6,000 EUR).

In light of the above, the President of UODO ruled as stated in the operative part of this decision.

The decision is final. According to Article 53 § 1 of the Act of August 30, 2002 – Law on Proceedings Before Administrative Courts (Journal of Laws of 2022, item 329, as amended), the party has the right to file a complaint to the Provincial Administrative Court in Warsaw within 30 days from the date of its delivery, through the President of the Personal Data Protection Office (address: ul. Stawki 2, 00 - 193 Warsaw).

A fee must be paid for the complaint, in accordance with Article 231 in connection with Article 233 of the Act of August 30, 2002 - Law on Proceedings Before Administrative Courts (Journal of Laws of 2022, item 329, as amended). According to Article 74 of the Act of May 10, 2018 on the Protection of Personal Data (Journal of Laws of 2019, item 1781), the filing of a complaint by the party to the administrative court suspends the execution of the decision regarding the administrative monetary penalty.

In the proceedings before the Provincial Administrative Court, the party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the party's request submitted before the initiation of the proceedings or during the proceedings. The application is free of court fees. According to Article 105(1) of the Act of May 10, 2018 on the Protection of Personal Data (Journal of Laws of 2019, item 1781), the administrative monetary penalty must be paid within 14 days from the expiry of the deadline for filing a complaint to the Provincial Administrative Court, or from the date of the court's decision becoming final, to the bank account of the Personal Data Protection Office at NBP O/O Warsaw no. 28 1010 1010 0028 8622 3100 0000.

Furthermore, according to Article 105(2) of the aforementioned Act, the President of UODO may, upon a justified request from the penalized entity, defer the deadline for payment of the administrative monetary penalty or allow it to be paid in installments. In the case of deferring the deadline for payment of the administrative monetary penalty or allowing it to be paid in installments, the President of the Personal Data Protection Office will charge interest on the unpaid amount at an annual rate, using a reduced late payment interest rate, announced based on Article 56d of the Act of August 29, 1997 - Tax Ordinance (Journal of Laws of 2021, item 1540, as amended), from the day following the day of submission of the request.

Print article

Metadata

Provider:

Department of Penalties and Enforcement

Information created by:

Jan Nowak

2022-12-30

Information entered by:

Mathias Proch

2023-07-21 15:51:17

Last modified by:

Iwona Jeleń

2023-07-27 11:01:11